

THIS BOOK'S APPROACH

This book's approach is premised on a simple assumption: because behavioral economics is foremost a “test-and-learn” field of scientific inquiry that evolves according to experimental outcomes and practical, policy-orientated applications of the knowledge garnered from these outcomes, so too should students test-and-learn. Studying and practicing behavioral economics should occur simultaneously, which, in turn, suggests a course taught more according to a practicum approach than in a traditionally styled lecture format. As such, the book's information and lessons are presented in a succinct and precise format.

The goal of this textbook is to help students experience behavioral economics through actual participation in the same experiments and economic games that have served as the foundations for, and shaped the contours of, the field. With the help of this book, students have the opportunity to learn behavioral economics firsthand and, in the process, create their own data and experiences. They will learn about themselves—about how they make private and public choices under experimental conditions—at the same time as they learn about the field of behavioral economics itself. They will be both the subjects and students of behavioral economics. What better way to learn?

HOMO ECONOMICUS VS. HOMO SAPIENS

For ease of reference and exposition, we henceforth refer to the type of individual construed by the traditional rational-choice model as *Homo economicus*, a peculiar subspecies of human beings that is unfailingly omniscient, dispassionate, and self-interested when it comes to making choices. *Homo sapiens*, on the other hand, represents the rest of us—the often-flawed reasoners and sometimes-altruistic competitors who are prone to making decisions based primarily on emotion and heuristics.^{1,2}

THE TEXTBOOK'S DIFFERENT SECTIONS

The textbook consists of four sections that, taken together, portray in full the eclectic methodologies comprising the field of behavioral economics. Sections 1 and 2 present the thought and actual

1. *Homo economicus* is Latin for “economic man.” Persky (1995) traces its use back to the late 1800s when it was used by critics of John Stuart Mill's work on political economy. In contrast (and, as we will see, with no small touch of irony) *Homo sapiens* is Latin for “wise man.” For a deep dive into evolution of *Homo sapiens*, particularly from the start of the Cognitive Revolution 70,000 years ago, see Harari (2015).
2. We have all heard the saying that “words matter.” The titles and descriptions we use to distinguish people and their behaviors (e.g., *Homo economicus* vs. *Homo sapiens*) can reinforce or diminish behaviors such as pride in cultural heritage, respect for the living world, and trust in community, a process known as “crowding out” of “intrinsic motivation and commitment.” As an example of this phenomenon, Bauer et al. (2012) asked participants in an online survey to imagine themselves as one of four households facing a water shortage due to a drought affecting their shared well. The survey assigned the label “consumers” to half of the participants and “individuals” to the other half. Those imagining themselves as consumers reported feeling less personal responsibility to reduce their water demand, and less trust in others to do the same, than did those referred to as individuals. As we are about to learn, behavioral economics is all about exposing these types of “framing effects” existing in the “real world” inhabited by *Homo sapiens*.